Highlights: Inflation Dynamics and Relative Price Dispersion in South Africa: Implications forOptimal Inflation Targeting

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- We establish a U-shaped, nonlinear relationship between inflation and relative price dispersion in South Africa.
- Only positive inflation surprises worsen price dispersion; negative surprises have no asymmetric effect.
- The inflation-RPD nexus evolves with structural changes in inflation targeting regimes.
- Post-2017, unexpected inflation exhibits a negative, monotonic relationship with price dispersion.
- Findings support flexible inflation targets that account for nonlinear dynamics in emerging markets.